**AL SUBEAEI INDUSTRIAL COMPANY LIMITED**
(SINGLE-PERSON LIMITED LIABILITY COMPANY)

**FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT**
**YEAR ENDED DECEMBER 31, 2025**

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# INDEPENDENT AUDITOR'S REPORT

To the Shareholder
Al Subeaei Industrial Company
(Single-Person Limited Liability Company)
Jeddah, Saudi Arabia

## Report on the Audit of the Financial Statements

### Qualified Opinion

We have audited the financial statements of Al Subeaei Industrial Company Limited (the "Company"), which comprise the statement of financial position as of December 31, 2025, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, except for the possible effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards ("IFRSs"), as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA").

### Basis for Qualified Opinion

Inventory, which is carried in the statement of financial position at ﷼ 114 million, has been stated net of an inventory adjustment of ﷼21 million. We were unable to obtain sufficient appropriate audit evidence about the carrying amount of the aforementioned inventory adjustment as management did not provide us with any evidence relating to this amount. Accordingly, we were unable to determine whether any adjustments to this amount were necessary.

We conducted our audit in accordance with International Standards on Auditing ("ISAs") as endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) as endorsed in the Kingdom of Saudi Arabia ("the Code"), and we have fulfilled our other ethical responsibilities in accordance with the requirements of the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

**INDEPENDENT AUDITOR'S REPORT - Continued**

To the Shareholder
Al Subeaei Industrial Company
(Single-Person Limited Liability Company)
Jeddah, Saudi Arabia

**Responsibilities of Management and Those Charged with Governance for the Financial Statements**

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA, the Companies law and the Company's Bylaws and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance i.e., General Manager is responsible for overseeing the Company's financial reporting process.

**Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosure is inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

**INDEPENDENT AUDITOR'S REPORT - Continued**

To the Shareholder
Al Subeaei Industrial Company
(Single-Person Limited Liability Company)
Jeddah, Saudi Arabia

**Auditor's Responsibilities for the Audit of the Financial Statements (Continued)**

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Deloitte and Touche & Co.
Chartered Accountants

Tamim bin Abdullah Al-Hawi
Certified Public Accountant
License No. 687

4 Dhu al-Hijjah, 1447 H
May 21, 2026

**AL SUBEAEI INDUSTRIAL COMPANY LIMITED (SINGLE-PERSON)**
(LIMITED LIABILITY COMPANY)

**STATEMENT OF FINANCIAL POSITION**
**AS OF DECEMBER 31, 2025**
(All amounts in ﷼ unless otherwise stated)

| | Note | **2025** | 2024 |
|---|---|---|---|
| **ASSETS** | | | |
| **Non-current assets** | | | |
| Property and equipment | 5 | **187,446,223** | 172,865,179 |
| Right of use asset | 6 | **2,717,449** | 1,432,902 |
| Due from related parties | 9 | **104,625** | 104,625 |
| **Total non-current assets** | | **190,268,297** | 174,402,706 |
| **Current assets** | | | |
| Inventory | 7 | **114,020,036** | 69,646,600 |
| Prepayments and other debit balances | 8 | **10,696,410** | 12,384,169 |
| Accounts receivable | 10 | **22,312,556** | 48,194,533 |
| Cash and bank balances | 11 | **3,816,488** | 2,248,509 |
| **Total current assets** | | **150,845,490** | 132,473,811 |
| **TOTAL ASSETS** | | **341,113,787** | 306,876,517 |
| **EQUITY AND LIABILITIES** | | | |
| **Equity** | | | |
| Share capital | 1 | **35,335,000** | 35,335,000 |
| Reserve | 12 | **7,846,137** | 7,846,137 |
| Retained earnings | | **(123,025,978)** | (43,993,089) |
| Shareholder's additional funding | 13 | **144,755,315** | 124,755,315 |
| Total equity | | **64,910,474** | 123,943,363 |
| **Non-current liabilities** | | | |
| Provision for evacuation | 15 | **5,138,173** | 5,083,656 |
| Due to related parties | 9 | **-** | 30,786,311 |
| End-of-service indemnities | 14 | **3,705,609** | 2,976,809 |
| Lease obligation | 6 | **2,193,595** | 1,368,640 |
| **Total non-current liabilities** | | **11,037,377** | 40,215,416 |
| **Current liabilities** | | | |
| Accounts payable, accruals and other liabilities | 18 | **23,017,890** | 13,430,273 |
| Due to related parties | 9 | **48,223,212** | - |
| Lease obligation | 6 | **528,015** | 194,832 |
| Bank facilities | 16 | **193,396,819** | 129,092,633 |
| **Total current liabilities** | | **265,165,936** | 142,717,738 |
| **Total liabilities** | | **276,203,313** | 182,933,154 |
| **TOTAL EQUITY AND LIABILITIES** | | **341,113,787** | 306,876,517 |

The accompanying notes form an integral part of these financial statements.

**AL SUBEAEI INDUSTRIAL COMPANY LIMITED (SINGLE-PERSON)**
(LIMITED LIABILITY COMPANY)

**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**
**FOR THE YEAR DECEMBER 31, 2025**
(All amounts in ﷼ unless otherwise stated)

| | Note | **2025** | 2024 |
|---|---|---|---|
| Sales, net | 19 | **189,422,838** | 173,550,399 |
| Cost of sales | 20 | **(202,104,450)** | (172,536,645) |
| **Gross (loss)/ income** | | **(12,681,612)** | 1,013,754 |
| Selling and marketing expenses | 21 | **(19,533,164)** | (7,500,861) |
| General and administrative expenses | 22 | **(32,651,731)** | (15,907,545) |
| (Provision)/ reversal of provision for expected credit loss | 10 | **(159,270)** | 5,119,898 |
| **Operating loss** | | **(65,025,777)** | (17,274,754) |
| Finance charges | 23 | **(11,747,772)** | (9,540,721) |
| Other income, net | 24 | **(2,420,869)** | 29,771 |
| **Net loss before zakat** | | **(79,194,418)** | (26,785,704) |
| Zakat expense | 17 | **-** | - |
| **Net loss for the year** | | **(79,194,418)** | (26,785,704) |
| Other comprehensive income: | | | |
| Re-measurement of End-of-service indemnities | 14 | **161,529** | 1,673,565 |
| **Total comprehensive loss for the year** | | **(79,032,889)** | (25,112,139) |

The accompanying notes form an integral part of these financial statements.

**AL SUBEAEI INDUTRIAL COMPANY LIMITED (SINGLE-PERSON)**
(LIMITED LIABILITY COMPANY)

**STATEMENT OF CHANGES IN EQUITY**
**FOR THE YEAR ENDED DECEMBER 31, 2025**
(All amounts in ﷼ unless otherwise stated)

| | Note | Share capital | Reserve | Retained earnings | Shareholder's additional funding | Total |
|---|---|---|---|---|---|---|
| Balance at January 1, 2024 | | 35,335,000 | 7,846,137 | (18,880,950) | 124,755,315 | 149,055,502 |
| Loss for the year | | - | - | (26,785,704) | - | (26,785,704) |
| Other comprehensive gain | **14** | - | - | 1,673,565 | - | 1,673,565 |
| **Balance at December 31, 2024** | | 35,335,000 | 7,846,137 | (43,993,089) | 124,755,315 | 123,943,363 |
| Loss for the year | | **-** | **-** | **(79,194,418)** | **-** | **(79,194,418)** |
| Other comprehensive gain | **14** | **-** | **-** | **161,529** | **-** | **161,529** |
| Movement during the year | **13** | **-** | **-** | **-** | **20,000,000** | **20,000,000** |
| **Balance at December 31, 2025** | | **35,335,000** | **7,846,137** | **(123,025,978)** | **144,755,315** | **64,910,474** |

The accompanying notes form an integral part of these financial statements.

**AL SUBEAEI INDUSTRIAL COMPANY LIMITED (SINGLE-PERSON)**
(LIMITED LIABILITY COMPANY)

**STATEMENT OF CASH FLOWS**
**FOR THE YEAR ENDED DECEMBER 31, 2025**
(All amounts in ﷼ unless otherwise stated)

| | **2025** | 2024 |
|---|---|---|
| OPERATING ACTIVITIES | | |
| Net loss before zakat | **(79,194,418)** | (26,785,704) |
| Adjustments for: | | |
| Depreciation of property and equipment | **11,451,761** | 7,774,666 |
| Loss on sale of property and equipment | **2,427,322** | - |
| Amortization of right of use asset | **369,789** | 184,267 |
| Provision /(reversal) of provision for expected credit losses | **159,270** | (5,119,898) |
| Inventory Write-off | **21,385,215** | 2,183,154 |
| Provision for employee benefit obligations | **793,833** | 866,037 |
| Evacuation provision expense | **54,517** | 109,284 |
| Finance charges | **11,747,772** | 9,540,721 |
| Adjustment to working capital | | |
| (Increase)/ decrease in current assets: | | |
| Inventory | **(65,758,651)** | (7,854,610) |
| Prepayments and other debit balances | **1,687,759** | (7,998,155) |
| Accounts receivable | **25,722,707** | (7,734,767) |
| (Decrease)/ increase in current liabilities | | |
| Due to related parties | **17,896,198** | 8,110,779 |
| Accounts payable, accruals and other liabilities | **9,587,617** | 6,857,622 |
| Cash used in operations | **(41,669,309)** | (19,866,604) |
| Finance charges paid | **(11,654,855)** | (9,540,721) |
| Zakat payment | **-** | (968,048) |
| Employee benefits liability paid, net | **(362,801)** | (2,827,831) |
| Net cash used in operating activities | **(53,686,965)** | (33,203,204) |
| INVESTING ACTIVITIES | | |
| Additions to property and equipment | **(31,092,473)** | (16,977,667) |
| Cash proceeds from sale of property and equipment | **2,632,346** | - |
| Net cash used in investing activities | **(28,460,127)** | (16,977,667) |
| FINANCING ACTIVITIES | | |
| Repayment of lease liabilities | **(589,115)** | (176,696) |
| Additional paid in capital contributed | **20,000,000** | - |
| Bank facilities, net | **64,304,186** | 46,511,330 |
| Net cash generated from financing activities | **83,715,071** | 46,334,634 |
| Net change in cash and bank balances | **1,567,979** | (3,846,237) |
| Cash and bank balances at January 1 | **2,248,509** | 6,094,746 |
| CASH AND BANK BALANCES AT DECEMBER 31 | **3,816,488** | 2,248,509 |
| Non cash transactions: | | |
| Addition of right of use assets | **1,654,336** | - |
| EOS provision transferred from related parties | **459,297** | - |
| Actuarial gain for re-measurement of End-of-service indemnities | **(161,529)** | (1,673,565) |

The accompanying notes form an integral part of these financial statements.

## 1. ORGANIZATION AND ACTIVITIES

Al-Subaie Industrial Company ("the Company") is a single-person limited liability Company registered on 21 Jumada Al-Awwal 1412 AH (corresponding to 27 November 1991 AD) with commercial registration No. 4030279153 and Unified National Number 7001357206 in Jeddah, and Industrial license No. 1439100186472 dated 2 Shaban 1439 AH (April 18, 2018 AD) which is valid until Shawwal 22, 1451 AH (February 25, 2030, AD). The Company's branch Vision Horizon license No. 431225721 dated 16 Dhu al-Qi'dah 1443 AH (June 15, 2022 AD) which is valid until 28 Rabi' al-Thani 1450 AH (September 18, 2028 AD).

The Company's capital starts at 35,335,000 ﷼, divided into 706,700 shares, each worth 50 ﷼, distributed among the financing as follows:

| | **2025** | | 2024 | |
|---|---|---|---|---|
| | **Amount** | **Percentage** | Amount | Percentage |
| Abdullah Ibrahim Mohammed Al Subeaei AIMS Holding Company | **35,335,000** | **100%** | 35,335,000 | 100% |

The principle activity of the Company is the manufacturing of metal pins, including (nails, screws and washers of all kinds), wholesale of spare parts for industrial equipment and machines, wholesale of various materials and installations, wholesale for personal sale, sale of water pumping equipment, components for realizing parts of equipment and industrial machines, manufacture of cardboard boxes, boxes, bags, folded or single-folded from paper or corrugated cardboard - Manufacture of paper bags - Manufacture of copper cables and metal strips - Manufacture of insulated wires and cables made from copper.

The registered head office address of Company is as follows:
Jeddah, Al-Shati district
Kingdom of Saudi Arabia

The accompanying financial statements include results, assets, and liabilities of the Company's head office in Jeddah and the following branches:

| **Branch** | **Registration Number** | **City** |
|---|---|---|
| ALIF Leading Factory for Metal Products | 4030287806 | Jeddah |
| United Building Materials Factory | 2050034574 | Damam |
| Branch of Al-Subaie Industrial Company | 2050107978 | Damam |
| Branch of Al-Subaie Industrial Company | 1010786869 | Riyadh |
| Branch of Al-Subaie Industrial Company | 5855359149 | Khamis Mushait |
| Branch of Alif Al-Raed Contracting Company | 2050161392 | Damam |
| Mada Al Roya Industrial Company | 4030423206 | Jeddah |

## 2. MATERIAL ACCOUNTING POLICIES

### Statement of compliance

The accompanying financial statements have been prepared in accordance with International Financial Reporting Standards that are endorsed by Saudi Organization for Chartered and Professional Accountants ("SOCPA").

**Basis of preparation**

These financial statements have been prepared under the historical cost convention using the accrual basis of accounting and the going concern assumption, except for obligations related to employee benefits, which was evaluated at the present value of the defined benefit obligation using an existing actuarial valuation calculation on the expected unit credit method as described in the accounting policies.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis except for leasing measure that are within the scope of IFRS 16 Leases, and measurements that have some similarities to fair value but are not fair value, such as net realizable value in IAS 2 Inventories or value in use in IAS 36 Impairment of Assets.

The principal accounting policies are set out below. These policies have been consistently applied to all periods presented.

**Functional and presentation currency**

These financial statements are presented in Saudi Riyals ('﷼'), which is the Company's functional and presentation currency. All amounts have been expressed in ﷼, unless otherwise indicated.

**Property and equipment**

*a) Recognition and measurement*
Property and equipment are measured at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset including any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located where applicable.

When parts of an item of property and equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

*b) Subsequent costs*
The cost of replacing a part of an item of property and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company, and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of the day-to-day servicing of property and equipment are recognized in the statement of profit or loss and other comprehensive income as incurred.

*c) Depreciation*
Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognized in the profit or loss.

The estimated useful lives for the current and comparative years are as follows:

| | |
|---|---|
| Buildings | 40 |
| Equipment and machinery | 5- 10 |
| Office equipment and decorations | 4 |
| Furniture and fixtures | 10 |
| Vehicles | 4 |

Depreciation methods estimated useful lives and residual values are reviewed at each reporting date and adjusted with the effect of any changes in estimate accounted for on a prospective basis, if appropriate.

d) *Derecognition*
An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

**Impairment of non-financial assets**

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, then the asset's recoverable amount is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the Cash Generating Unit ("CGU") to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual CGU, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Impairment exists when the carrying value of an asset or CGU exceeds the recoverable amount, which is the higher of the fair value less costs to sell and value in use. The fair value less costs to sell is arrived based on available data from binding sales transactions at arm's length, for similar assets. The value in use is based on a Discounted Cash Flow ("DCF") model, whereby the future estimated cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or CGU) is estimated to be less than it is carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Impairment loss is recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

An impairment loss recognized in a prior period for an asset other than goodwill (or for a CGU) may be reversed if, and only if, there has been a change in the estimates used to determine the recoverable amount of the asset (or CGU) since the last impairment loss was recognized.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or CGU) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or CGU) in prior years. A reversal of an impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

**Financial instruments**

*Initial recognition*
Financial assets and financial liabilities are initially recognized when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognized immediately in profit or loss.

***Financial Assets***

All regular way purchases or sales of financial assets are recognized and derecognized on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognized financial assets are measured subsequently in their entirety at either amortized cost or fair value, depending on the classification of the financial assets.

The Company's financial assets comprise of cash and cash equivalents, trade receivables, other receivables, due from related parties.

*a) Classification and subsequent measurement*

On initial recognition, a financial asset is classified as measured at

- Amortized cost.
- Fair value through other comprehensive income (FVOCI) - debt investment.
- FVOCI - equity investment; or
- Fair value through profit or loss (FVTPL)

*Subsequent measurement*

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as measured at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The amortized cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortized cost of a financial asset before adjusting for any loss allowance.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as measured at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI - equity investment). This election is made on an investment-by-investment basis.

By default, all financial assets that are not classified as measured at amortized cost or FVOCI as described above are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

*b) Financial assets: Business model assessment*

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management.

*c) Subsequent measurement and gains and losses*

| | |
|---|---|
| **Financial assets at FVTPL** | These assets are subsequently measured at fair value. Net fair value gains and losses other than those that are part of a hedging relationship, including any interest or dividend income, are recognised in profit or loss. |
| **Financial assets at amortised Cost** | These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on de-recognition is recognised in profit or loss. |
| **Debt investments at FVTOCI** | These assets are subsequently measured at fair value. Interest income under the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On de-recognition, gains and losses accumulated in OCI are reclassified to profit or loss. |
| **Equity investments at FVTOCI** | These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to profit or loss. |

*d) Effective interest method*

The effective interest method is a method of calculating the amortized cost of a debt instrument/financial liability and of allocating interest income over the relevant period. For financial assets other than purchased or originated credit-impaired financial assets (i.e. assets that are credit-impaired on initial recognition), the effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition.

For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated by discounting the estimated future cash flows, including expected credit losses, to the amortized cost of the debt instrument on initial recognition.

*e) Trade receivables*

Trade receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market are measured at amortized cost applying the effective interest method. Other financial assets include advances to employees and cash and cash equivalents are also measured on the same basis as Trade receivables.

**Financial liabilities and equity**

*a) Classification as debt or equity*

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

*b) Equity instruments*

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

***Financial liabilities***

*Classification, subsequent measurement and gains and losses*

Financial liabilities are classified and measured at amortized cost or FVTPL. A financial liability is classified as at FVTPL if 1) it is contingent consideration of an acquirer in a business combination 2) classified as held for trading, or 3) it is a derivative or it is designated as at FVTPL on initial recognition. Financial liabilities at amortized cost are initially measured at fair value and subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on de-recognition is also recognized in profit or loss and other comprehensive income.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss to the extent that they are not part of a designated hedging relationship.

Significant financial liabilities of the Company include trade payables, due to related parties, loan to a related party and lease liabilities. These financial liabilities are initially measured at fair value and subsequently at amortized cost using the effective interest method.

**De-recognition**

***Financial assets***

The Company derecognizes a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the financial assets and substantially all of the risks and rewards of ownership of the financial asset to another entity. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognizes its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognize the financial asset and also recognizes a collateralized borrowing for the proceeds received.

On derecognition of a financial asset measured at amortized cost, the difference between the asset's carrying amount and the sum of the consideration received, and receivable is recognized in profit or loss. In addition, on derecognition of an investment in a debt instrument classified as at FVTOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. In contrast, on derecognition of an investment in equity instrument which the Company has elected on initial recognition to measure at FVTOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is not reclassified to profit or loss, but is transferred to retained earnings.

***Financial liabilities***

The Company derecognizes a financial liability when, and only when, its contractual obligations are discharged or cancelled, or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in profit or loss.

The Company also derecognizes a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognized at fair value. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate is at least ten per cent different from the discounted present value of the remaining cash flows of the original financial. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognized in the statement of profit or loss and other comprehensive income.

**Offsetting of financial instruments**

Financial asset and financial liability are offset, and the net amount presented in the statement of financial position when, and only when the Company:

- currently has a legally enforceable right to set off the recognized amounts; and
- intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

Income and expenses are not offset in profit or loss unless required or permitted by IFRS.

**Impairment**

**Financial assets (including trade receivables)**

The Company recognizes a loss allowance for expected credit losses on receivables and other financial assets as needed. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

The Company always recognizes lifetime Expected Credit Loss ("ECL") for trade receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the Company recognizes lifetime ECL when there has been a significant increase in credit risk since initial recognition. If, on the other hand, the credit risk on the financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial instrument at an amount equal to 12-month ECL. The assessment of whether lifetime ECL should be recognized is based on significant increases in the likelihood or a default or risk of a default occurring since initial recognition instead of on evidence of a financial asset being credit-impaired at the reporting date or and there has as at the reporting date.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

*Significant increase in credit risk*

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Company compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. In making this assessment, the Company considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

The Company regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

The Company assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. A financial instrument is determined to have low credit risk if:

1) The financial instrument has a low risk of default,
2) The borrower has a strong capacity to meet its contractual cash flow obligations in the near term, and
3) Adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

*Definition of default*

The Company employs statistical models to analyze the data collected and generate estimates of probability of default ("PD") of exposures with the passage of time. This analysis includes the identification for any changes in default rates and changes in key macro-economic factors across various geographies of the Company.

*Credit-impaired financial assets*

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower.
- a breach of contract, such as a default or past due event (see definition of default above).
- the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider.
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
- the disappearance of an active market for that financial asset because of financial difficulties.

*Write-off policy*

The Company writes off a financial asset when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery.

*Measurement and recognition of expected credit losses*

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e., the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above. As for the exposure at default, for financial assets, this is represented by the assets' gross carrying amount at the reporting date.

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, discounted at the original effective interest rate.

**Leasing**

The Company as lessee:

The Company whether a contract is or contains a lease, at inception of a contract. The Company recognizes a right-of-use asset and a corresponding lease liability with respect to all lease agreements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets (such as tablets, personal computers, small items of office furniture and telephones). For these leases, the Group recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the rate implicit in the lease. If this rate cannot be readily determined, the lessee uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- The amounts expected to be payable by the lessee under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is presented as a line in the statement of financial position.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

The lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate;

The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the revised lease payments using the initial discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revised discount rate is used);

A lease contract is modified, and the lease modification is not accounted for as a lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

The Company did not make any such adjustments during the periods presented.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Whenever the Company incurs an obligation for costs to dismantle and remove a leased asset, restore the site on which it is located or restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognized and measured under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

The costs are included in the related right-of-use asset, unless those costs are incurred to produce inventories. Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfer's ownership of the underlying asset or the cost of the right-of-use asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. The depreciation starts at the commencement date of the lease.

The right-of-use assets are presented as a line in the statement of financial position.

The Company applies IAS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-current assets' policy.

Variable rents that do not depend on an index or rate are not included in the measurement of the lease liability and the right-of-use asset. The related payments are recognized as an expense in the period in which the event or condition that triggers those payments occurs and are included in profit or loss.

As a practical expedient, IFRS 16 permits a lessee not to non-lease components, and instead account for any lease and associated non-lease components as a single arrangement. The Company has not used this practical expedient. For contracts that contain a lease component and one or more additional lease or non-lease components, the Company allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

The Company as lessor

Rental income from operating leases is recognized on a straight-line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognized on a straight-line basis over the lease term.

**Foreign currency transactions**

The financial statements of the Company are presented in Saudi Riyals ('﷼'), which is the Company's functional currency.

Transactions in foreign currencies are initially recorded by the Company at their respective functional currency spot rates at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange ruling at the reporting date. All differences arising on settlement or translation of monetary items are taken to the statement of profit or loss and other comprehensive income.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate as of the date of the initial transaction and are not subsequently restated.

Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising from translation of non-monetary items measured at fair value is treated in line with the recognition of a gain or loss on change in fair value of the item.

**Inventories**

Inventory stated at the lower of cost or NRV. The cost, for finished goods and Warp in progress, is determined on the basis of the average cost method, but the cost of raw materials, labor and a specified percentage of overhead cost, as all other types of stock are evaluated on the basis of average cost.

It represents the net value consisting of the estimated selling price, minus the costs required for the entire selling method. Any impairment loss arising from inventory losses at net realizable value is recognized in the statement of profit or loss. The goods are evaluated route according to the shipping conditions of the purchased goods.

*Spare parts/consumables*

General capital spare parts and other consumables which are not critical and general in nature, i.e., not plant specific and which may be required at any time to facilitate plant operations are classified as spare parts included in inventory. All items recorded in inventory are subject to an obsolescence allowance assessment and are charged to the statement of profit or loss when installed or used.

**Cash and bank balances**

Cash and cash equivalents include cash in hand, deposits held at call with banks and other short-term highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

**Employees benefit liability.**

The Company operates an employees benefit liability. Employees benefit liability as required by Saudi Arabia Labor law, are required to be provided based on the employees' length of service.

The Company's net obligation in respect of defined unfunded benefit plan ("the obligations") is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return of their service in the current and prior periods. The benefit is discounted to determine its present value, and any unrecognized past service costs.

The discount rate used is the market yield on government bonds at the reporting date that has maturity dates approximating the terms of the Company's obligations. The cost of providing benefits under the defined benefit plans is determined using the projected unit credit method to determine the Company's present value of the obligation. Defined benefit liability comprises of the following:

- service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements).
- interest expense; and
- re-measurement gains/(losses)

The Company presents the first two components of costs in the statement of profit or loss and other comprehensive income. Gains/(losses) due to re-measurement of employee's benefits liability are recognized in other comprehensive income immediately. Curtailment gains / (losses) and plan amendments are accounted for as past service cost in the statement of profit or loss and other comprehensive income in the period of plan amendment.

The Company is also required to contribute towards a state-owned benefit plan where the Company's obligation under the plan is to make specified monthly contribution based on specified percentage of payroll cost as stipulated under the regulation. These contributions are recognized as an expense when employees have rendered the service entitling them to the contributions. Any unpaid amounts are classified as accruals.

*Short term employee benefits*

A liability is also recognized for benefits accruing to the employees in respect of wages and salaries, annual leaves, air tickets and sick leaves that are expected to be settled wholly within twelve months after the end of the period in which the employees render the related service. The liability is recorded at the undiscounted amount of the benefits expected to be paid in exchange for that.

**Zakat**

The Company is subject to the Regulations of the Zakat, Tax and Custom Authority ("ZATCA") in the Kingdom of Saudi Arabia. Zakat is provided on an accrual basis. The zakat charge is computed on the zakat base. Any difference between the Zakat allowance and the final assessment is recognized in accordance with the requirements of IAS 8, "Accounting Policies and Changes in Accounting Estimates and Errors". The Company submits its zakat returns through the Group as a unified zakat number in the name of Abdullah Ibrahim Mohammed Al Subeaei AIMS Holding Company.

**Value Added Tax (VAT)**

Revenue, expenses and assets are recognized net of the of VAT except:

- where VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case VAT is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- receivables and payables that are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to the ZATCA is included as part of receivables or payables in the statement of financial position.

**Provisions**

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

Where a provision is measured using the cash flows estimated to settle the present obligation, it carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognized as an asset if it is virtually certain that reimbursement will be received, and the amount of the receivable can be measured reliably.

**Revenue from contracts with customers**

The Company recognizes revenues from selling its products to customers.

Revenue is measured based on the consideration to which the Company to be entitled in a contract with a customer. The Company recognizes revenue when it transfers control of a product or service to a customer. Revenue is recognized to the extent that it is probable that any future economic benefit associated with the item of revenue will flow to the Company, the revenue can be reliably measured, regardless of when the payment is being made and the costs are identifiable and can be measured reliably.

The Company has applied IFRS 15 Revenue from contracts with customers for accounting of revenue. The core principle of the IFRS 15 is that an entity should recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Revenue is measured at the fair value of consideration received or receivable, taking into account the contractually agreed terms of payment excluding taxes and duties. The Company assesses its revenue arrangements against specific criteria to determine if it is acting as or an agent and has concluded that it is acting as a principal in almost all revenue.

The Company recognizes revenue when it transfers control to customers, which is the time when goods are delivered to customers or to the responsible carrier. About transporting goods to customers. The Company recognizes trade receivables at the time the goods are delivered to credit customers because this represents the point during which the Company's right to compensation becomes unconditional, as only the passage of time is required for payment to become due. The Company acknowledges revenues when it transfers control of goods or services to its customers.

As per the Company's standard contract terms, customers have the right to return. No return obligation has been created due to the low value of merchandise returns based on historical data. It is considered highly probable that a material reversal in cumulative revenue recognized will not occur given the levels low returns during previous years.

A Company's contracts with customers to sell its products usually include a single performance obligation. Revenue from the sale of its products should be recognized at the point of time period at which control of the asset is transferred to the customer, usually upon delivery of its products to the customer.

Revenue is adjusted for expected discounts and volume discounts, which are estimated based on historical data or forecasts and projections, and take management considers all information (historical, current and projected) reasonably available to the Company to determine incentives and discounts.

**Expenses**

General and administrative expenses include direct and indirect costs not specifically part of cost of sales in accordance with the IFRS endorsed in the Kingdom of Saudi Arabia. Allocations between cost of sales and general and administrative expenses, when required, are made on a consistent basis.

## 3. ADOPTION OF NEW AND REVISED STANDARDS

### 3.1 Amended and revised International Financial Reporting Standards ("IFRS") that are effective for the current year.

The following new and revised IFRSs, which became effective for annual periods beginning on or after January 1, 2025, have been applied in these financial statements. Their adoption has not had any material impact on the disclosures or on the amounts amount is reported in these financial statements.

| New and revised IFRSs | Summary |
|---|---|
| Lack of Exchangeability (Amendments to IAS 21) | The amendments contain guidance to specify when a currency is exchangeable and how to determine the exchange rate when it is not. |

Other than the above, there are no other significant IFRSs and amendments that were effective for the first time for the financial period beginning on or after January 1, 2025 and relevant to the Company's operations.

### 3.2 New and revised IFRS in issue but not yet effective and not early adopted.

At the date of authorization of these financial statements, the Company has not applied the following new and revised IFRS Standards that have been issued but are not yet effective:

| New and revised IFRSs | Effective for annual periods beginning on or after |
|---|---|
| Amendments IFRS 9 and IFRS 7 regarding the classification and measurement of financial instruments<br>The amendments address matters identified during the post-implementation review of the classification and measurement requirements of IFRS 9 Financial Instruments. | 1 January 2026 |
| Amendments IFRS 9 and IFRS 7 – Contracts referencing Nature-dependent Electricity<br>The amendments to address how IFRS 9 Financial Instruments should be applied to power purchase agreements with specific characteristics and amend FRS 7 Financial Instruments: Disclosures to include specific disclosure requirements relating to those contracts. | 1 January 2026 |
| IFRS 18 Presentation and Disclosure in Financial Statements<br>IFRS 18 provides guidance on items in statement of profit or loss classified into five categories: operating; investing; financing; income taxes and discontinued operations It defines a subset of measures related to an entity's financial performance as 'management-defined performance measures' ('MPMs'). The totals, subtotals and line items presented in the primary financial statements and items disclosed in the notes need to be described in a way that represents the characteristics of the item. It requires foreign exchange differences to be classified in the same category as the income and expenses from the items that resulted in the foreign exchange differences. | 1 January 2027 |

| | |
|---|---|
| IFRS 19 Subsidiaries without Public Accountability: Disclosures<br>IFRS 19 allows eligible subsidiaries to apply IFRS Accounting Standards with the reduced disclosure requirements of IFRS 19. A subsidiary may choose to apply the new standard in its consolidated, separate or individual financial statements provided that, at the reporting date it does not have public accountability and its parent produces consolidated financial statements under IFRS Accounting Standards. | 1 January 2027 |
| Amendments to IFRS 10 and IAS 28- Sale or Contribution of Assets between an Investor and its Associate or Joint Venture<br>Partial gain or loss recognition for transactions between an investor and its associate or joint venture only apply to the gain or loss resulting from the sale or contribution of assets that do not constitute a business as defined in IFRS 3 Business Combinations and the gain or loss resulting from the sale or contribution to an associate or a joint venture of assets that constitute a business as defined in IFRS 3 is recognized in full. | Effective date deferred indefinitely |

The Company is in the process of assessing the potential financial impact of the application of the above-mentioned standards and amendments. The Company does not expect that the adoption of the amendments and standards listed above will have a material impact on the financial statements of the Company in future periods except for IFRS 18 - Presentation and Disclosures in Financial Statements.

## 4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

In the application of the Company's accounting policies, which are described in note 2, the management is required to make judgements (other than those involving estimations) that have a significant impact on the amounts recognized and to make estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

**Key sources of estimation uncertainty**

The key assumption concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

*a) Current versus non - current*

The Company presents assets and liabilities in the statement of financial position based on current/ non-current classification. An asset as current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle.
- Held primarily for the purpose of trading.
- Expected to be realized within twelve months after the reporting date; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle.

- Held primarily for the purpose of trading.
- Expected to be realized within twelve months after the reporting date; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

*b) Useful lives and residual values of property and equipment*

The management determines the estimated useful lives of property and equipment are carried for calculating depreciation and the residual values. This estimate is determined after considering expected usage of the assets or physical wear and tear. Management reviews the residual value and useful lives annually and future depreciation charges are adjusted where management believes the useful lives differ from previous estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

*c) Allowance for expected credit loss.*

When measuring ECL, the Company uses reasonable and supportable forward-looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other. Loss given default is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements. Probability of default constitutes a key input in measuring ECL. Probability of default is an estimate of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions. Any changes in ECL rates and recoveries of receivables within or beyond the defined credit periods in the future would have a significant impact on the reported loss allowance.

*d) Impairment of non-financial assets*

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a Discounted Cash Flow ("DCF") model which is based on future forecasted numbers. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash flows and the growth rate used for extrapolation purposes.

*e) Going concern*

The Company's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Also, management is not aware of any material uncertainties that may cast doubt on the Company's ability to continue as a going concern. Therefore, the financial statements have been prepared on a going concern basis.

*f) Employees' benefit liabilities*

The cost of employee's benefits liabilities is determined using actuarial valuation. Certain actuarial assumptions have been adopted as disclosed in Note 14 to the financial statements for valuation of present value of benefit obligations. Any changes in these assumptions in future years might affect gains and losses in those years.

## 5. PROPERTY AND EQUIPMENT

| | Buildings | Equipment and machines | Furniture and fixtures | Office equipment and decorations | Motor vehicles | Capital work-in-progress | Total |
|---|---|---|---|---|---|---|---|
| **Cost** | | | | | | | |
| January 1, 2024 | 115,704,997 | 87,692,750 | 2,195,521 | 6,895,666 | 3,146,956 | 11,291,518 | 226,927,408 |
| Additions | 791,200 | 9,334,035 | 32,439 | 647,891 | 436,500 | 5,735,602 | 16,977,667 |
| December 31, 2024 | 116,496,197 | 97,026,785 | 2,227,960 | 7,543,557 | 3,583,456 | 17,027,120 | 243,905,075 |
| Disposals | - | **(7,940,329)** | - | - | - | - | **(7,940,329)** |
| Transfer from CWIP | - | **18,838,594** | - | **1,212,939** | - | **(20,051,533)** | - |
| Additions | - | - | **25,762** | **209,554** | **561,000** | **30,296,157** | **31,092,473** |
| **December 31, 2025** | **116,496,197** | **107,925,050** | **2,253,722** | **8,966,050** | **4,144,456** | **27,271,744** | **267,057,219** |
| **Accumulated depreciation** | | | | | | | |
| January 1, 2024 | 8,568,824 | 48,132,902 | 622,093 | 3,556,380 | 2,385,031 | - | 63,265,230 |
| Depreciation | 1,813,328 | 5,263,636 | 315,713 | 304,426 | 77,563 | - | 7,774,666 |
| December 31, 2024 | 10,382,152 | 53,396,538 | 937,806 | 3,860,806 | 2,462,594 | - | 71,039,896 |
| Depreciation | **1,822,885** | **8,294,709** | **201,619** | **850,301** | **282,247** | - | **11,451,761** |
| Disposals | - | **(2,880,661)** | - | - | - | - | **(2,880,661)** |
| **December 31, 2025** | **12,205,037** | **58,810,586** | **1,139,425** | **4,711,107** | **2,744,841** | - | **79,610,996** |
| **Net book value:** | | | | | | | |
| December 31, 2024 | 106,114,045 | 43,630,247 | 1,290,154 | 3,682,751 | 1,120,862 | 17,027,120 | 172,865,179 |
| **December 31, 2025** | **104,291,160** | **49,114,464** | **1,114,297** | **4,254,943** | **1,399,615** | **27,271,744** | **187,446,223** |

5-1 Depreciation charge for the year is distributed as detailed below:

| | **2025** | 2024 |
|---|---|---|
| Cost of sales (note 20) | **9,119,589** | 7,099,322 |
| General and administrative expenses (note 22) | **2,332,172** | 675,344 |
| | **11,451,761** | 7,774,666 |

5-2 Some of the Company's buildings, with a book value of 104,291,160 ﷼ (2024: 106,114,045 ﷼), were constructed on lands leased from the Saudi Authority for Industrial Cities and Technology Zones in the third industrial zone in the city of Jeddah for a period ranging from 9 to 16 years for a nominal rent and under an annual contract. Renewable for a similar period or periods with the approval of both parties. The administration also confirms its intention to extend the duration of lease contracts for similar periods in accordance with the lease contract.

The duration of the lease contracts used in calculating the right-of-use asset includes the non-cancelable period and the periods covered by the extension option, as the group's management is reasonably certain of exercising the extension option (Note 6).

As of December 31, 2025, property and equipment includes fully depreciated property, plant and equipment with a book value of approximately ﷼ 31 million (2024: approximately ﷼ 34 million) and is still in operation. The Company's management has reviewed the useful lives of these assets and does not see there is a need to adjust those useful lives as of December 31, 2025, due to the lack of significant future economic benefit that can be measured reliably.

## 6. RIGHT OF USE ASSET

| | **Land** |
|---|---|
| **Cost:** | |
| Balance at January 1, 2025 | 2,298,576 |
| Additions | **1,654,336** |
| **Balance at December 31, 2025** | **3,952,912** |
| **Accumulated amortization:** | |
| Balance at January 1, 2025 | 865,674 |
| Amortization (note 20) | **369,789** |
| **Balance at December 31, 2025** | **1,235,463** |
| **Book Value at:** | |
| Balance at December 31, 2024 | 1,432,902 |
| **Balance at December 31, 2025** | **2,717,449** |

**LEASE OBLIGATION**

The lease obligations as of December 31 are as follows:

| | **2025** | 2024 |
|---|---|---|
| Balance at January 1 | **1,563,472** | 1,740,168 |
| Additions | **1,654,336** | - |
| Accrued interest (note 23) | **92,917** | 62,254 |
| Repayments during the year | **(589,115)** | (238,950) |
| **Balance at December 31** | **2,721,610** | 1,563,472 |
| Current portion | **(528,015)** | (194,832) |
| **Non- current portion** | **2,193,595** | 1,368,640 |

The weighted average of the lessee's additional borrowing interest rate applied to the lease obligations recognized in the statement of financial position as at the date of applying the standard is 5.5% for Al-Subaie Industrial Company and 6.0 % for the new warehouse rented during current year, and the incremental borrowing interest rate used by Mada Al-Ru'ya Industrial Company (a branch Company) is 7.4% as on the date of application of the standard.

The table below details the Company's remaining contractual entitlement to obligations. The tables are prepared based on the undiscounted cash flows of lease obligations based on the earliest date on which the Company can be required to make payment. The table includes the main benefits and cash flows:

| | **2025** | 2024 |
|---|---|---|
| Less than 1 Year | **613,027** | 199,518 |
| More than 1 Year and less than 5 years | **1,862,126** | 798,072 |
| More than 5 Years | **466,200** | 665,718 |
| **Non- current portion** | **2,941,353** | 1,663,308 |

The amounts recognized in the statement of profit or loss are as follows:

| | **2025** | 2024 |
|---|---|---|
| Amortization expense of right-of-use assets (Note 6) | **369,789** | 184,267 |
| Interest expense from lease obligations (Note 23) | **92,917** | 62,254 |
| Expenses related to short-term lease contracts (Note 22) | **506,571** | 307,096 |
| | **969,277** | 553,617 |

## 7. INVENTORY

| | **2025** | 2024 |
|---|---|---|
| Raw materials | **41,591,443** | 23,947,820 |
| Finished goods | **11,488,297** | 12,130,747 |
| Spare parts and supplies* | **11,617,308** | 9,636,701 |
| Packing material | **3,527,076** | 3,576,345 |
| Work in progress | **7,123,094** | 5,089,067 |
| Goods in Transit – ALF | **38,672,818** | 15,265,920 |
| | **114,020,036** | 69,646,600 |

* The stock of spare parts and supplies mainly relates to factory machinery and equipment used in operations.

## 8. PREPAYMENTS AND OTHER DEBIT BALANCES

| | **2025** | 2024 |
|---|---|---|
| Advances to suppliers | **4,800,247** | 10,973,288 |
| Prepayments | **1,282,442** | 553,401 |
| VAT | **67,120** | - |
| Profit margin for LCs (Note 24) | **7,515** | 65,928 |
| Employee loans | **755,877** | 330,726 |
| Other receivables | **3,783,209** | 460,826 |
| | **10,696,410** | 12,384,169 |

## 9. RELATED PARTY TRANSACTIONS AND BALANCES

9-1 During the year, the Company transacted with the following related parties:

| Name | Relationship |
|---|---|
| Abdullah Ibrahim Mohammed Al Subeaei AIMS Holding Company | Shareholder |
| Abdullah Ibrahim Mohammed Al Subeaei Investment Company | Affiliates |
| Al Tadreep Al Motakaml Company | Affiliates |

9-2 The significant transactions and the related amounts are as follows:

| | **2025** | 2024 |
|---|---|---|
| Expenses paid on behalf of the Company | **3,160,595** | - |
| Funding | **13,739,368** | 8,110,779 |
| EOS transferred from related parties | **459,297** | - |

The terms and prices of the above transactions may not necessarily reflect the terms and prices that would have prevailed had they been made with unrelated entities.

In addition to the above, the Company, in its normal course of business, pays expenses on behalf of related parties; at the same time, these related parties pay on behalf of the Company.

9-3 Due from related parties is comprised of the following:

| | **2025** | 2024 |
|---|---|---|
| Al Tadreep Al Motakamel Company | **104,625** | 104,625 |
| | **104,625** | 104,625 |

9-4 Due to related parties is comprised of the following:

| | **2025** | 2024 |
|---|---|---|
| Abdullah Ibrahim Mohammed Al Subeaei Investment Company | **2,397,424** | 2,394,300 |
| Abdullah Ibrahim Mohammed Al Subeaei Holding Company | **45,825,788** | 28,392,011 |
| | **48,223,212** | 30,786,311 |
| Current portion | **48,223,212** | - |
| Non-current portion | **-** | 30,786,311 |

9-5 Compensation to key management personnel:

Key management personnel include senior management including the CEO of the Company. The compensation paid or payable to key management personnel for their services is set out below:

| | **2025** | 2024 |
|---|---|---|
| Salaries, allowances, and bonuses of senior executives | **1,594,497** | 805,830 |

## 10. ACCOUNTS RECEIVABLES

| | **2025** | 2024 |
|---|---|---|
| Accounts receivables – local | **19,077,726** | 31,752,138 |
| Accounts receivable - foreign | **8,632,975** | 23,811,034 |
| | **27,710,701** | 55,563,172 |
| Less: allowance for credit losses | **(5,398,145)** | (7,368,639) |
| | **22,312,556** | 48,194,533 |

The credit period granted to commercial customers is 180 to 270 days. No interest is charged on outstanding trade receivables.

The Company measures the loss allowance for receivables at an amount equal to lifetime expected credit losses ("ECL"). The expected credit losses on trade receivables are estimated using a provision matrix by reference to past default experience of the debtor and an analysis of the debtor's current financial position, adjusted for factors that are specific to receivable debtors, general economic conditions of the industry in which the debtors operate and an assessment of both the current as well as the forecast direction of conditions at the reporting date.

The Company writes off trade receivables when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, for example when the debtor has been placed under liquidation or has entered into bankruptcy proceedings.

The following table details the risk profile of trade receivables based on the Company's provision matrix. As the Company's historical credit loss experience does not show significantly different loss patterns for different customer segments, the allowances for doubtful debts based on past due status is not further distinguished between the Company's different customer types.

| | | **Days past due** | | | | |
|---|---|---|---|---|---|---|
| **2025** | **Not past due** | **1 - 90 days** | **91 - 180 days** | **181 - 270 days** | **More than 271 days** | **Total** |
| Expected credit. loss rate | **4%** | **5%** | **25%** | **46%** | **46%** | **19%** |
| Net Book value | **10,135,602** | **7,230,941** | **625,248** | **1,620,053** | **8,098,857** | **27,710,701** |
| Lifetime ECL | **(415,916)** | **(362,927)** | **(156,404)** | **(743,924)** | **(3,718,974)** | **(5,398,145)** |
| | **9,719,686** | **6,868,014** | **468,844** | **876,129** | **4,379,883** | **22,312,556** |

| | | Days past due | | | | |
|---|---|---|---|---|---|---|
| 2024 | Not past due | 1 - 90 days | 91 - 180 days | 181 - 270 days | More than 271 days | Total |
| Expected credit. loss rate | - | - | 25% | 64% | 56% | 13% |
| Net Book value | 15,922,520 | 25,787,302 | 3,836,224 | 1,716,746 | 8,300,380 | 55,563,172 |
| Lifetime ECL | - | (588,838) | (1,070,657) | (1,095,017) | (4,614,127) | (7,368,639) |
| | 15,922,520 | 25,198,464 | 2,765,567 | 621,729 | 3,686,253 | 48,194,533 |

The movement in allowance for credit losses is as follows:

| | **2025** | 2024 |
|---|---|---|
| Balance on January 1 | **7,368,639** | 12,488,537 |
| Provision/ (reversal) for the year | **159,270** | (5,119,898) |
| Written off | **(2,129,764)** | - |
| Balance at December 31 | **5,398,145** | 7,368,639 |

## 11. CASH AND BANK BALANCES

Cash and bank balances include cash, bank balances and short-term deposits with maturities of three months or less.

| | **2025** | 2024 |
|---|---|---|
| Cash in hand | **306,980** | 35,582 |
| Cash at bank | **3,509,508** | 2,212,927 |
| | **3,816,488** | 2,248,509 |

The Company deposits its cash amounts in high rating banks in the Kingdom of Saudi Arabia. The Company's management does not believe that the expected credit losses on its bank balances are material.

## 12. RESERVE

In accordance with new Regulation for Companies effective January 19, 2024, whereby the requirement of maintaining a statutory reserve has been withdrawn was required under the previous Regulation for Companies and the Company's Baylaw. The ompany has been updated it's bylaw in accordance with the new companies' law.

## 13. SHAREHOLDER'S ADDITIONAL FUNDING

The shareholders' additional funding balance arises from the support of the shareholder to meet the future expansion plans of the Company without the intention to officially record this increase in the share capital and does not entail any financing charges and is not withdrawn from it except with the approval of the shareholder. During the year shareholder funded the Company with an additional amount of ﷼ 20 million to support the Company's operation.

## 14. EMPLOYEE BENEFITS LIABILITY

The Company operates an approved unfunded employees' end of service benefits plan as required by the Saudi Arabian Labor Law. These benefits are based on the employees' salaries, allowances and accumulated years of service, as stipulated in the regulations of the Kingdom of Saudi Arabia.

The employee benefits balance as shown in the statement of financial position:

| | **2025** | 2024 |
|---|---|---|
| The present value of the defined benefit obligation | **3,705,609** | 2,976,809 |

Evaluation approach and key assumptions for actuarial study:

An independent actuarial exercise has been conducted as of December 31, 2025, and 2024 to ensure the adequacy of provision for employees' end of service benefits in accordance with the rules stated under the Saudi Arabian Labor Law by using the Projected Unit Credit Method as required under IAS 19 'Employee Benefits'.

Under this method, the expected cost of the accrued benefits is calculated for each benefit to be earned by the plan members who are on the job. The expected cost of accrued benefits is based on the accrual formula and the period of service at the valuation date. The benefits are calculated based on the last salary expected to be received by the employee at retirement age.

The plan's liabilities are the current actuarial value of expected employee benefit liabilities for all employees who are on the job at the evaluation date.

The movement in the defined benefit liability is as follows:

| | **2025** | 2024 |
|---|---|---|
| Balance at January 1 | **4,008,986** | 8,984,156 |
| Included in profit or loss | | |
| Current service cost | **597,500** | 566,602 |
| Interest cost | **196,333** | 296,432 |
| Past service cost | **-** | 3,003 |
| | **793,833** | 866,037 |
| Included in other comprehensive income | | |
| Financial assumptions | **(88,543)** | (712,463) |
| Demographic assumptions | **-** | 12,262 |
| Experience adjustment | **(72,986)** | (973,364) |
| | **(161,529)** | (1,673,565) |
| Transferred from related parties | **459,297** | - |
| Payment during the year | **(511,010)** | (4,167,642) |
| | **4,589,577** | 4,008,986 |
| Employee advances secured by their entitlements from employee benefit obligations | **(883,968)** | (1,032,177) |
| **Balance at December 31** | **3,705,609** | 2,976,809 |

Actuarial assumptions

Significant actuarial assumptions for the determination of the defined benefit obligation are discount rate, expected salary increase and mortality. The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

The main financial assumptions and information used for actuarial valuation purposes are as follows:

| | **2025** | 2024 |
|---|---|---|
| Discount rate | **5.75%** | %5.5 |
| Future salary growth/expected rate of employee salary increase | **1%** | %1 |
| Average remaining years for retirement | **24** | 22 |
| Mortality rate | **AMC00 and AFC00** | AMC00 and AFC00 |
| Number of employees | **324** | 232 |

**Sensitivity analysis**

The sensitivity of employees benefit liability to changes in key assumptions is as follows:

| | **2025** | 2024 |
|---|---|---|
| Nominal value | **3,705,609** | 2,976,809 |
| Increase in discount rate by 1% | **3,380,410** | 2,686,682 |
| Decrease in the discount rate by 1% | **4,079,414** | 2,793,222 |
| Increase in the salary increase rate by 1% | **4,094,205** | 3,323,833 |
| Decrease in the salary increase rate by 1% | **3,363,015** | 2,770,864 |

The discount rate and expected increase in salaries and mortality are used as significant actuarial assumptions to determine the defined benefit liability. The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

The sensitivity analysis presented above may not be representative of the actual change in the employee benefit liability as it is unlikely that the changes in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

In presenting the above sensitivity analysis, the present value of the employee benefit liability has been calculated using projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the employee benefit liability recognized in the statement of financial position. There was no change in the methods and assumptions used in the preparation of sensitivity analysis from prior years.

Amounts in the movement of employee benefit liabilities are recognized in the statement profit or loss for the year, excluding actuarial gains or losses, which are recognized in other comprehensive income.

## 15. EVACUATION PROVISION

It represents the allocation for dismantling of the factory, rehabilitating the factory lands upon handing over the land to the Saudi Authority for Industrial Cities and Technology Zones in the third industrial zone in the city of Jeddah, at the current value of the expected cost of rehabilitation. The balance as of December 31, 2025, amounted to ﷼ 5,138,173 (2024: ﷼ 5,083,656). The effect of deducting the non-current portion of the redemption and replacement provision is immaterial.

## 16. BANK FACILITIES

The Company has bank facility agreements from local banks in the form of bank facilities and letters of guarantee with a ceiling of ﷼ 240 M (2024: ﷼ 270 M) to finance various business requirements. These facilities are subject to variable commercial interest rates, renewed periodically, and secured by promissory notes and personal guarantees. The Company's financing arrangements include certain financial covenants. The Company was not in compliance with a few of these covenants at the reporting date. However, partial waivers were obtained from the banks.

The bank facilities utilized under these existing agreements as of December 31 are as follows:

| | **2025** | 2024 |
|---|---|---|
| Bank facilities | **199,104,660** | 131,583,165 |
| Deferred financing costs | **(5,707,841)** | (2,490,532) |
| | **193,396,819** | 129,092,633 |

## 17. ZAKAT

The principal amounts of the Zakat base are as follows:

| | **2025** | 2024 |
|---|---|---|
| Non-current assets | **190,268,297** | 174,402,706 |
| Non-current liabilities | **59,260,589** | 40,221,086 |
| Opening shareholder’s equity | **123,943,363** | 149,055,502 |
| Net loss before zakat | **(79,194,418)** | (26,785,704) |

Some of the above amounts have been adjusted to arrive at the zakat charge for the year.

| Movement of the legal zakat provision during the year | **2025** | 2024 |
|---|---|---|
| Balance at January 1 | **-** | 968,048 |
| Zakat paid | **-** | (968,048) |
| **Balance at December 31** | **-** | - |

**Zakat status**

The Company independently submitted its zakat declarations to the Zakat, Tax and Customs Authority (ZATCA) for all fiscal years from its establishment until 2019. Regarding the years 2023 and 2024, the holding Company submitted the zakat declarations without any dues, hence no zakat allocations were made. As of the date of these financial statements, there have been no reassessments issued for the years 2019 to 2024.

## 18. ACCOUNTS PAYABLE, ACCRUALS AND OTHER LIABILITIES

| | **2025** | 2024 |
|---|---|---|
| Accounts payable | **18,916,637** | 12,257,932 |
| Employee accrued vacation | **1,257,858** | 689,740 |
| Advance from customers | **1,667,352** | - |
| Other | **1,176,043** | 482,601 |
| | **23,017,890** | 13,430,273 |

## 19. SALES, NET

| | **2025** | 2024 |
|---|---|---|
| Sales | **195,321,046** | 172,640,434 |
| Sales returns | **(7,991,201)** | (991,119) |
| Sales discount | **(506,566)** | (110,476) |
| Others | **2,599,559** | 2,011,560 |
| | **189,422,838** | 173,550,399 |

## 20. COST OF SALES

| | **2025** | 2024 |
|---|---|---|
| Raw Materials | **159,472,517** | 151,286,349 |
| Inventory Write-off | **21,385,215** | 2,183,154 |
| Salaries and related costs | **11,782,232** | 11,783,553 |
| Depreciation of property and equipment | **9,094,697** | 7,099,322 |
| Amortization of right of use asset | **369,789** | 184,267 |
| | **202,104,450** | 172,536,645 |

- Salaries, wages and supplements include support from the Human Resources Development Fund, amounting to ﷼ 801,038 (2024: ﷼ 119,255).

## 21. SELLING AND MARKETING EXPENSES

| | **2025** | 2024 |
|---|---|---|
| Freight out expenses | **17,080,196** | 6,379,272 |
| Sales commissions | **1,123,788** | 292,308 |
| Advertising and sales promotion expenses | **1,329,180** | 829,281 |
| | **19,533,164** | 7,500,861 |

## 22. GENERAL AND ADMINISTRATIVE EXPENSES

| | **2025** | 2024 |
|---|---|---|
| Salaries and related costs | **20,103,483** | 9,982,256 |
| Government and professional fees | **6,792,232** | 1,228,105 |
| Business trips | **785,398** | 1,148,292 |
| IT expenses | **734,762** | 727,997 |
| Utilities | **191,158** | 619,982 |
| Depreciation of property and equipment (note 5) | **2,332,172** | 675,344 |
| Hospitality expenses | **165,823** | 203,033 |
| Rent | **506,571** | 307,096 |
| Maintenance expenses | **116,134** | 104,343 |
| Evacuation expenses | **109,284** | 109,284 |
| Other expenses | **814,714** | 801,813 |
| | **32,651,731** | 15,907,545 |

## 23. FINANCE CHARGES

| | **2025** | 2024 |
|---|---|---|
| Murabaha cost | **11,654,855** | 9,478,467 |
| Interest expense on lease obligations (Note 6) | **92,917** | 62,254 |
| | **11,747,772** | 9,540,721 |

## 24. OTHER INCOME, NET

| | **2025** | 2024 |
|---|---|---|
| Loss on sale of property and equipment | **2,427,322** | - |
| Other (loss)/ income | **(6,453)** | 29,771 |
| | **2,420,869** | 29,771 |

## 25. CONTINGENCIES AND COMMITMENTS

As at December 31, 2025, the Company has outstanding letters of guarantee and letters of credit amounting to ﷼ 3,374,670 at year end (2024: ﷼ 11,081,301) against a cash margin ﷼ 7,515 (2024: ﷼ 65,928) included in prepayments and other debit balances (note 8).

## 26. FINANCIAL INSTRUMENTS– FAIR VALUES AND FINANCIAL RISK MANAGEMENT

### 26.1 FAIR VALUES

The fair value of financial assets and financial liabilities includes cash and cash equivalents, accounts receivable, other debit balances, due from related parties, and investments in financial assets at fair value. Financial liabilities include Murabaha financing, accounts payable, due to related parties, and other credit balances.

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A. General accounting policies

Details of the significant accounting policies and methods adopted, including the criteria for recognition, the basis of measurement and the basis on which income and expenses are recognized, in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 2 to the financial statements

b. Categories of financial instruments

| | **2025** | 2024 |
|---|---|---|
| Accounts receivable | **22,312,556** | 48,194,533 |
| Cash and bank balances | **3,816,488** | 2,248,509 |
| Due from related parties | **104,625** | 104,625 |
| **Financial assets at amortized cost** | **26,233,669** | 50,547,667 |
| Bank facilities | **193,396,819** | 129,092,633 |
| Lease obligation | **2,721,610** | 1,563,472 |
| Due to related parties | **48,223,212** | 30,786,311 |
| Accounts payable, accruals and other liabilities | **23,017,890** | 13,430,273 |
| **Financial liabilities at amortized cost** | **267,359,531** | 174,872,689 |

c. Fair value of financial instruments

The fair value of financial assets and financial liabilities at year-end approximate their carrying amounts in the statement of financial position.

**26.2 FINANCIAL RISK MANAGEMENT**

The Company's activities expose it to a variety of financial risks: market risk (including currency risk, fair value and cash flow interest rate risks and price risk), credit risk and liquidity risk. Senior management manages risks based on policies approved by those responsible for governance. Senior management identifies, evaluates and hedges financial risks in close cooperation with the operational units of the Company. The most important types of risk are credit risk, currency risk and fair value risk.

Risk management systems are reviewed regularly by the executive management team to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

Financial instruments carried on the statement of financial position include cash and balances at banks, trade receivables, due from related parties, investments in financial assets held at fair value, account payable and others, due to related parties, bank facilities. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

Financial asset and liability are offset and net amounts reported in the financial statements, when the Company has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and liability simultaneously.

**Market risk**

Market risk is the risk that the fair value or future cash flow of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: Interest rate risk, currency risk and other price risks such as equity price risk. Financial instruments affected by market risks include short-term bank facilities, The Executive Management reviews these risk factors on a regular basis to manage these risks.

**Interest rate risk**

Interest rate risk is the risk that fluctuations in interest rates will affect the fair value or future cash flow of a financial instrument as a result of changes in market interest rates. The Company's exposure to the risk of changes in prevailing market interest rates relates mainly to bank facilities. With regard to bank facilities associated with variable interest rates, the Company is exposed to the risk of fluctuations in cash flow as a result of changes in interest rates.

**Foreign currency risk**

Currency risk is the risk that the value of a financial instrument denominated in foreign currencies will fluctuate due to changes in foreign exchange rates, in case the Company does not hedge its currency exposure by means of hedging instruments as the significant transactions of the Company are made in SR.

Furthermore, the Company did not have any significant monetary assets or liabilities denominated in foreign currencies at the reporting date as it is exposed to foreign currency fluctuations. Therefore, a sensitivity analysis for foreign currencies was not presented.

**Credit risk**

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. As at the end of the year, the Company's maximum exposure to credit risk without taking into account any collateral held or any other credit enhancements, which would cause a financial loss to the Company due to non-performance of a counterparty obligation arises from the book value of the recognized financial assets as disclosed in the statement of financial position. The Company carries out credit check procedures that are reviewed and updated on an ongoing basis before granting credit to its customers. The Company does not hold any collateral or other credit enhancements to cover the credit risks associated with its financial assets.

The Company carries out credit check procedures that are reviewed and updated on an ongoing basis before granting credit to its customers. No debit balances exceeded the credit period granted at the year-end.

Credit approvals and other monitoring procedures effective for place to ensure that follow-up action is taken to recover overdue debts. Furthermore, the Company reviews the recoverable amount of each trade receivable on an individual basis at the end of the reporting period to ensure that adequate loss allowance is made for irrecoverable amounts. In this regard, the directors of the Company considers that credit risk of the Company is significantly reduced.

The credit risk on liquid funds is limited because the counterparties are banks with high credit ratings and investments in securities of well-known listed Companies, in addition to due from related parties.

**Liquidity risk**

Liquidity risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell a financial asset quickly at an amount close to its fair value. Liquidity risk is managed through its treasury department by monitoring the maturity profile of the Company's financial instruments to ensure that adequate liquidity is maintained or made available, as necessary to the Company.

The Company does have a significant concentration of liquidity risk, for example, concentration of liquidity risk may arise from the terms of payment of financial obligations, sources of borrowing, or reliance on a particular market for the realization of liquid assets.

The Company's financial liabilities mainly consist of bank facilities and trade and other payables and due to related parties, and the Company expects to have sufficient cash liquidity to do so.

Management is confident that the Company will be able to settle all its obligations in a timely manner, as the Company's management will manage liquidity using the cash and current bank balances available to the Company and may sell.

The following is contractual undiscounted maturity analysis of the financial assets and liabilities of the Company as of December 31, 2025. The Company does not hold financial assets to manage liquidity risk and therefore this risk has not been considered for maturity analysis.

| *Non derivative financial liability* | **Net Book value** | **1 year or less** | **1 to 5 years** | **More than five years** |
|---|---|---|---|---|
| **2025** | | | | |
| Bank facilities | **193,396,819** | **193,396,819** | **-** | **-** |
| Lease obligation | **2,721,610** | **528,015** | **1,757,039** | **436,556** |
| Due to related parties | **48,223,212** | **48,223,212** | **-** | **-** |
| Accounts payable and other liabilities | **23,017,890** | **23,017,890** | **-** | **-** |
| | **267,359,531** | **265,165,936** | **1,757,039** | **436,556** |
| 2024 | | | | |
| Bank facilities | 129,092,633 | 129,092,633 | | |
| Lease obligation | 1,563,472 | 194,832 | 779,328 | 589,312 |
| Due to related parties | 30,786,311 | - | 30,786,311 | |
| Accounts payable and other liabilities | 13,430,273 | 13,430,273 | - | - |
| | 174,872,689 | 142,717,738 | 31,565,639 | 589,312 |

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amount.

## 27. APPROVAL OF THE FINANCIAL STATAMENTS

These financial statements were authorized for issue by the Company's management May 17, 2026